Report To Shareholders

Management's Discussion and Analysis

Sales for the quarter increased 33% to $309.0 million from $231.5 million for the prior year period. The increase in sales was primarily due to the contribution from recent acquisitions and internal growth driven by increased branded product sales.

Earnings from operations before unusual items increased 30% to $14.2 million from $10.9 million last year. During the quarter, the Company recorded a $7.4 million charge ($4.8 million, net of tax), against earnings related to the wind-down of its London, Ontario bakery and the restructuring of operations. Net earnings for the quarter of $3.3 million ($0.14 per share) included the impact of this restructuring charge. After adjusting for this charge, net earnings were $8.1 million ($0.34 cents a share) compared to $6.4 million last year ($0.30 cents a share). Interest expense for the quarter increased to $2.6 million from $0.9 million for the prior year period, due to higher debt levels arising from the acquisition of the Maple Leaf Foods bakery assets in the United States and the United Kingdom late in 2002.

"Our first quarter results reflect for the first time the combined performance of Canada Bread and Maple Leaf Bakeries, and we are very pleased with our early achievements," said Richard Lan, President and Chief Executive Officer. "We are delivering on our goal to integrate our recent acquisitions and drive out costs and inefficiencies, while growing the top line through product innovation and expanding our retail and food service accounts."

On January 30, 2003 Canada Bread issued four million treasury shares to Maple Leaf Foods at a price of $26.50 per share, increasing the total shares outstanding to 25.4 million compared to 21.4 million last year. While this diluted the earnings per share on a quarter-over-quarter basis, net proceeds of $106 million allowed the Company to pay down debt and strengthen its balance sheet, and provide additional resources to grow the business.

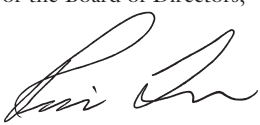
Earnings for the first quarter benefited from strong internal growth and from the contribution made by acquisitions, most notably Maple Leaf Foods' bakery operations. The Company continued to invest in its brands and in product development, and in the first quarter launched its new *Dempster's Stays Fresh to the Last Slice*™ bread, packaged in a unique *Cellofoil*™ bag. This product guarantees the consumer increased days of product freshness and great tasting bread.

The Company recently announced the closure of two bakeries, one in New Brunswick effective May 31, 2003 and the other in northern Quebec, effective June 27, 2003. The products currently produced at these plants, including rolls and sweet goods, will be transitioned to other Canada Bread bakeries. Also, during the quarter, the Company announced the closure of its London, Ontario bakery, resulting in increased capacity utilization and reduced costs as volume is transferred to existing facilities in Ontario and Quebec. In addition to this manufacturing restructuring, optimization of distribution routes and improvements in administration efficiencies continued in the Maritimes and Quebec. While most of the costs of these restructuring initiatives were either accrued as part of acquisition costs or included in the charge to earnings in this quarter, further restructuring will continue over the remainder of the year, which may result in further charges to earnings.

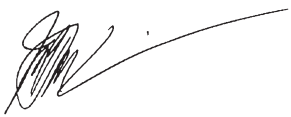
Increases in rising input costs experienced over the last few quarters have mostly been recovered through price increases in Canada, while cost recovery initiatives are still underway in the United States. The Company is adding an additional par-baked line at its bakery plant in Roanoke, Virginia, to meet the requirements of a new exclusive 10-year contract with a major North American food service chain.

The Company declared a dividend of $0.06 per share payable on July 2, 2003 to shareholders of record on June 13, 2003.

For the Board of Directors,



Richard A. Lan
President and Chief Executive Officer



Michael H. McCain
Chairman

April 30, 2003